



“Many CEOs have reached their current positions by either starting their own firms or climbing the ladder without an MBA”

FR S. GEORGE
DIRECTOR, XLRI
JAMSHEDPUR



“When smaller B-schools are struggling, they can’t focus on the aspects that international agencies are looking at”

**SANGEETA SHAH
BHARDWAJ**
ACTING DIRECTOR,
MDI GURGAON

Europe International Business School. “Why will he want to teach at a ₹60 lakh per annum salary when his students are making crores?” poses Bhandari.

MDI’s Bhardwaj says there isn’t enough investment in the “intellectual capital” of faculty members. “Research is not revenue generating. So, many B-Schools do not suitably incentivise the faculty to do cutting-edge research.” Adds Thirumalai of ISB: “In the last decade or so, the Chinese have pumped in a lot of money into their education institutions without worrying about ROI. The results are there for all to see. They are attracting some of the best faculty in the world and have seen huge improvements in their overall quality.” But attracting international faculty also raises the

question of pay differential between Indian and foreign faculty members, says IIMB’s Krishnan. “Our existing faculty are as good as the best anywhere in the world. There’s no reason why they should be paid lesser than anybody else... We have to come up with equitable pay structures that allow us to attract people internationally, but also compensate our local faculty,” he says.

BRINGING IN THE MOOLAH

Better quality requires more money. Business schools of excellence, experts say, cannot be run on profit models and require endowments to be pumped in without worry of ROI. Storied global institutions such as Harvard and Stanford were set up on endowments from successful business people and have raised billions of dollars through their alumni. Indians have also contributed to them. The Tata group has donated a cumulative \$100 million (about ₹820 crore at current exchange rates) to Harvard Business School and Cornell University in 2008-09 and 2015-16. Since 2008, the Stanford Reliance Dhirubhai MBA Fellowship Program supports five fellows annually with full tuition for the two-year programme, provided the fellows agree to return and work in India within two years of graduation.

The outreach required to get those kinds of funds is a challenge even for the best institutes in India. For instance, IIM Ahmedabad launched its Endowment Fund only in June 2020, making it the first Indian management institute to come up with the initiative. It had an initial commitment of ₹100 crore by 10 alumni, with a target of growing the corpus to ₹1,000 crore in five years.

It’s a far cry for the lesser known and upcoming standalone institutions. “We allow self-funded autonomous AICTE-approved schools to start, but the ecosystem lacks somewhere to enable growth and become a known B-school in the country,” says MDI’s Bhardwaj. ISB’s Thirumalai says top global institutions are thriving today because of successful businesspeople who realised the importance of education without worrying about ROI or what fame they would get during their lifetime. “In fact, it is very likely that they wouldn’t have known how famous these institutions would become in a few centuries. That is what needs to change in India.”

The recipe is there for the taking. Cooking the dish is quite another matter. **BT**

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